Ans. (d) : According to the passage, western countries are not always trying to impose democracy on non-western countries implicit assumption that democracy' belongs to exclusively to the west, taking it to be quintessentially western idea which has originated and flourished only in the west.

Passage -2

Corporate governance is based on principles such as conducting the business with all integrity and fairness, being transparent with regard to all transactions, making all the necessary disclosures and decisions, complying with all the laws of the land, accountability and responsibility towards the stakeholders and commitment to conducting business in an ethical manner. Another point which is highlighted on corporate governance is the need for those in control to be able to distinguish between what are personal and corporate funds while managing a company.

Fundamentally, there is a level of confidence that is associated with a company that is known to have good corporate governance. The presence of an active group of independent directors on the board contributes a great deal towards ensuring confidence in the market. Corporate governance is known to be one of the criteria that foreign institutional investors are increasingly depending on when deciding on which companies to invest in. It is also known to have a positive influence on the share price of the company. Having a clean image on the corporate governance front could also make it easier for companies to source capital at more reasonable costs. Unfortunately, corporate governance often becomes the centre of discussion only after the exposure of a large scam.

12. According to the passage, which of the following should be the practice/practices in good corporate governance ?

1. Companies should always comply with labour and tax laws of the land.
2. Every company in the country should have a government representative as one of the independent directors on the board to ensure transparency.
3. The manager of a company should never invest his personal funds in the company.

Select the correct answer answer using the codes given below :

(a) only 1 (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (a) : Corporate governance is based on principles such as conducting the business with all integrity and fairness, being transparent with regard to all transaction making all the necessary disclosures and decisions, complying with all the laws of land.

13. According to the passage, which of the following is/are the major benefit/benefits of good corporate governance ?

1. Good corporate governance leads to increase in share price of the company.
2. A company with good corporate governance always increases its business turnover rapidly.
3. Good corporate governance is the main criterion for foreign institutional investors when they decide to buy a company.

Select the correct answer using the codes given below :

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Ans. (a) : According to the passage corporate governance is known to be one of the criteria that foreign institutional investor are increasingly depending on when deciding on which companies to invest in It influence on share price of the company. Thus only statement (1) is correct.

Passage -3

Malnutrition most commonly occurs between the ages of six months and two years . This happens despite the child's food requirements being less than that of an older child . Malnutrition is often attributed to poverty, but it has been found that even in households where adults eat adequate quantities of food. more than 50 percent of children-under –five do not consume enough food. The child's dependence on someone else to feed him/her is primarily responsible for the malnutrition. Very often the mother is working and the responsibility of feeding the young child is left to an older sibling. It is therefore crucial to increase awareness regarding the child's food needs and how to satisfy them.

14. According to the passage, malnutrition in children can be reduced.

(a) if the children have regular intake of food.
(b) after they cross the age of five.
(c) if the food needs of younger children are known.
(d) if the responsibility of feeding younger children is given to adults.

Ans. (c) : According to the passage malnutrition in children can be reduced if the food needs of younger children are known

15. According to the author, poverty is not the main cause of malnutrition, but the fact that

1. taking care of younger one is not a priority for working mothers.
2. awareness of nutritional needs is not propagated by the public Health authorities.

Select the correct answer using the codes given below :

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Ans. (b) : According to the author poverty is not the main cause of malnutrition but the fact that is awareness of nutritional needs is not propagated by the public health authorities.

Passage – 4

A number of empirical studies find that the farmers are risk-averse, though only moderately in many cases. There is also evidence to show that farmers' risk aversion results in cropping patterns and input use designed to reduce risk rather than to maximize income. Farmers adopt a number of strategies to manage and cope with agricultural risks. These include practices like crop and field diversification, non-farm employment, storage of stocks and strategic migration of family members. There are also institutions ranging from share tenancy to kinship, extended family and informal credit agencies. One major obstacle to risk sharing by farmers is that the same type of risks can affect the large number of farmers in the region. Empirical studies show that the traditional methods are not adequate. Hence there is a need for policy interventions, especially measures that cut across geographical regions.

Policies may aim at tackling agricultural risk directly or Indirectly. Examples or risk-specific policies are crop insurance, price stabilization and the development of varieties resistant to pests and diseases. Policies which affect risk indirectly are irrigation, subsidized credit and access to information. No single risk-specific policy is sufficient to reduce risk and is without side-effects, whereas policies not specific to risk influence the general situation and affect risk only indirectly . Crop insurances, as a policy measure to tackle agricultural risk directly, deserves careful consideration in the Indian context and in many other developing countries-because the majority of farmers depend on rain-red agriculture and in many areas yield variability is the predominant cause of their income instability.

16. The need for policy intervention to mitigate risks in agriculture is because

(a) farmers are extremely risk-averse.
(b) farmers do no know how to mitigate risks.
(c) the methods adopted by farmers and existing risk sharing institutions are not adequate.
(d) majority of farmers depend on rain–fed agriculture .

Ans. (c) : According to the passage, the need for policy intervention to mitigate risk in agriculture because of the method adopted by farmers and is risk sharing institution's are not adequate. No single risk specific policy is sufficient to reduce risk and is without side-effect.

17. Which of the following observations emerges from the above passage ?

(a) One can identify a single policy that can reduce risk without any side-effect.
(b) No single risk-specific policy is sufficient to reduce agricultural risk.
(c) Policies which affect risk indirectly can eliminate it.
(d) Government's policy intervention can mitigate agricultural risk completely

Ans. (b) : The observation can be made from above passage is that there is no single risk specific policy is sufficient to reduce agricultural risk and is without side-effect.

Directions for the following 4 (four) items :

Read the following passage and answer the four items that follow. Your answers to these items should be based on the passage only.

Passage

Financial markets in India have acquired greater depth and liquidity over the years. Steady reforms since 1991 have led to growing linkages and integration of the Indian economy and its financial system with the global economy. Weak global economic prospects and continuing uncertainties in the international financial markets therefore, have had their impact on the emerging market economics. Sovereign risk concerns, particularly in the Euro area, affected financial markets for the greater part of the year, with the contagion of Greece's sovereign debt problem spreading to India and other economies by way of higher –than –normal levels of volatility

The funding constraints in international financial markets could impact both the availability and cost of foreign funding for banks and corporate. Since the Indian financial system is bank dominated, banks' ability to withstand stress is critical to overall financial stability. Indian banks, however, remain robust, notwithstanding a decline in capital to risk-weighted assets ratio and a rise in non-performing asset levels in the recent past. Capital adequacy levels remain above the regulatory requirements. The financial market infrastructure continues to function without any major disruption. With further globalization, consolidation, deregulation, and diversification of the financial system, the banking business may become more complex and riskier. Issues like risk and liquidity management and enhancing skill therefore assume greater significance.

18. According to the passage, the financial markets in the emerging market economies including India had the adverse impact in recent years due to